

1 FRONTIER ARTIFICIAL INTELLIGENCE RESPONSIBLE OFFICER ACT

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4 [This publication derives from the jacket-clean text of Model Act v3.4. The publication title
5 and this note are new; the operative text in SEC. 0 through SEC. 13 is unchanged. Bracketed
6 matter is an adopting-state choice. Conform the agency designation, penalty brackets, internal
7 numbering, and cross-references to the adopting state's drafting conventions.]

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9 SEC. 0. FINDINGS AND PURPOSE (UNCODIFIED).

10 (a) The Legislature finds:

11 (1) Covered systems are deployed to, operated within, and made available to residents of this
12 State, and the deaths, injuries, intrusions and losses this Act addresses occur to persons and
13 property within this State.

14 (2) The protection of persons within this State from death and serious injury, and the punishment
15 of those whose failures of care cause it, is among the oldest and most traditional exercises of
16 this State's police power, and is the same power by which this State punishes homicide, reckless
17 endangerment, the endangerment of the public by the sale of adulterated or unsafe goods, and false
18 statements made to its own officers.

19 (3) The duties this Act imposes arise from the deployment, material expansion, release, or
20 operation of a covered system in or into this State, or from conduct in this State in relation to
21 such a system. This Act imposes no duty on any person by reason of research, training, or
22 development that neither occurs in this State nor concerns a covered system deployed or released
23 in or into this State.

24 (4) No provision of this Act requires any person to express, adopt, endorse, or refrain from
25 expressing any opinion, characterization, viewpoint, or contested position, or to alter the output
26 of any covered system. The statements this Act requires are statements of fact within the
27 knowledge of the person making them, made to a regulator.

28 (5) This Act draws no distinction between persons within and persons outside this State. It
29 confers no advantage on any in-state person and imposes no obligation on an out-of-state person
30 that it does not impose on an in-state person engaged in the same conduct with respect to the same
31 system.

32 (6) The obligations this Act imposes are, in substance, the obligations that responsible
33 developers, providers, and deployers of covered systems already represent that they discharge, and
34 the incremental burden of compliance is small in relation to the revenues of the persons on whom
35 it falls.

36 (7) This Act supplements and does not displace the generally applicable criminal and civil law of
37 this State, which applies to conduct concerning covered systems as it applies to all other
38 conduct.

39 (b) Purpose. The purpose of this Act is to place personal responsibility for the safety of covered
 40 systems deployed, operated, or released in or into this State upon the natural persons who hold
 41 practical authority over them, on the doctrine of *United States v. Park*, 421 U.S. 658 (1975), by
 42 means that operate upon private conduct occurring in or directed into this State.

43

44 SEC. 1. CLASSIFICATION AND DEFINITIONS. (a) Offenses under this Act are public welfare offenses
 45 within the meaning of *Morissette v. United States*, 342 U.S. 246 (1952), except where a greater
 46 mental state is expressly required.

47 (b) In this Act: (1) "Covered frontier model": a foundation model whose training and lineage
 48 compute (initial training plus fine-tuning, reinforcement learning, and material modification
 49 along the model's lineage, excluding unrelated experimental runs, as further specified by rule,
 50 including the treatment of fine-tuning, distillation, merging, and aggregation) exceeds 10^{26}
 51 integer or floating-point operations; or any model designated by the Agency under SEC. 3 as
 52 frontier-equivalent by capability. The compute figure is a bright-line trigger; capability
 53 designation under SEC. 3 reaches models below it. Designation is prospective only. Until a rule under SEC. 3 fi
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54 specifies the treatment of fine-tuning, distillation, merging, and aggregation: (A) a distinct
 55 model derived from a covered frontier model is itself a covered frontier model only if the
 56 compute applied in its derivation, together with the lineage compute otherwise attributable to
 57 it under this paragraph, exceeds the figure in this paragraph, or the Agency prospectively
 58 designates it; (B) derivation compute not exceeding $[10^{24}]$ integer or floating-point operations
 59 does not, standing alone, extend a lineage; and (C) records sufficient to compute lineage under
 60 SEC. 12 shall be created and retained for any derivation whose compute exceeds $[10^{22}]$ integer
 61 or floating-point operations, whether or not the resulting model is covered, the records duty of
 62 this subparagraph operating independently of coverage. (2) "Covered
 63 system": a deployed configuration of a covered frontier model, including tools, memory, retrieval,
 64 credentials, and permissions attached to it. (3) "Developer," "substantial modifier," "provider,"
 65 "deployer": the entity that respectively trains, materially modifies, makes available, or operates
 66 a covered model or system, directly or through any affiliate. Deployment through an affiliate is
 67 deployment by the principal. Personal, noncommercial operation of a covered model for a person's
 68 own use is not deployment. (4) "Controlling person": as defined in SEC. 4. (5) "Critical safety
 69 incident": as defined in SEC. 9(a). (6) "Material expansion": a change that increases a
 70 covered system's capabilities, autonomy, external access, or permissions beyond its validated
 71 configuration, including the grant of a new class of tools, credentials, or permissions; the
 72 enablement of an autonomous external-access capability; or the removal or material weakening of
 73 a safeguard identified in the applicable validation. The Agency may elaborate this definition
 74 prospectively by rule and may not narrow it; the definition operates of its own force from the
 75 effective date, no rule being required. (7) "Unauthorized access": access to a system, data, or model weights f

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76 which the person entitled to control them has not granted permission, whether or not technological
 77 measures prevented or would have prevented the access; a defect in, or absence of, technical
 78 access controls is not a grant of permission. (8) "Serious injury": an injury or illness that is
 79 life-threatening, results in permanent impairment of a body function or permanent damage to a body
 80 structure, or necessitates medical or surgical intervention to preclude such permanent impairment
 81 or damage; "permanent" means irreversible, excluding trivial impairment or damage, per 21 C.F.R.
 82 § 803.3(w). (9) "Release": making the weights of a covered frontier model available for download,
 83 transfer, or reproduction outside the releasing entity's control. A release is a deployment of a
 84 covered system for purposes of this Act; duties in connection with a release are limited to those
 85 capable of performance before the release. Nothing in this Act restricts any person's use, study,
 86 or modification of lawfully obtained weights, except as part of the deployment of a covered
 87 system. (10) "Autonomous external-access capability": the capability of a covered system, in its
 88 deployed configuration, to initiate interactions with systems, services, accounts, or persons
 89 outside the control of the deploying entity – including network requests, execution of code
 90 affecting external systems, transactions, and communications – without the approval of a natural
 91 person for each interaction. The Agency may specify classes of such capability by rule; the
 92 absence of a rule neither suspends nor narrows SEC. 5(b) once the controls that section
 93 presupposes have been prescribed under SEC. 3.

94 (c) Jurisdiction. This Act applies to conduct occurring in this State, to covered systems made
 95 available to residents of this State, and to conduct intended to produce and producing substantial
 96 effects within this State. Conduct occurring outside this State is relevant under this Act only as
 97 evidence bearing on an element of an offense committed in or into this State. No person incurs a
 98 duty under this Act by reason of conduct that neither occurs in this State nor concerns a covered
 99 system deployed, released, or made available in or into this State. A person who does not deploy a
 100 covered system in or into this State, does not make it available to residents of this State, and
 101 does not release its weights, is not subject to this Act as to that system.

102

103 SEC. 2. PUBLIC WELFARE DUTY. (a) Duty. No covered system may be deployed in or into this State, or
 104 materially expanded, unless each controlling person has exercised due care to ensure the system's
 105 compliance with the safety, authorization, monitoring, incident-reporting, and deployment
 106 standards applicable under SEC. 3. A duty under this Act arises upon, and by reason of, the
 107 deployment, material expansion, release, or continued operation of a covered system in or into
 108 this State, and not otherwise. Each duty under this Act attaches to the actor who controls the
 109 relevant risk: the developer as to model evaluation and weight security; the provider and deployer
 110 as to configuration, tools, permissions, and monitoring; the releasing provider as to pre-release
 111 evaluation – including evaluation of the model as it can be modified, such as by removal of
 112 safeguards or fine-tuning within a rule-specified compute budget – tamper-resistance assessment,

113 and weight security up to the moment of release; each controlling person as to the exercise of the
 114 authority that person holds. The compute budget within which modification of a model is to be
 115 evaluated shall be specified by rule and shall not be less than the greater of [one] percent of
 116 the covered model's training and lineage compute, as computed under SEC. 1(b)(1), or $[10^{24}]$
 117 integer or floating-point operations; until a rule first takes effect, the budget is that minimum.

118 (b) Reliance by non-modifying deployers. A deployer that operates a covered system within a
 119 validated configuration, without material modification of the covered model and without
 120 attaching or granting tools, memory, retrieval, credentials, permissions, or external access
 121 beyond those identified in the validation on which it relies, discharges the duty of due care
 122 under subsection (a), as to the matters within the scope of that validation, by: (1) documented
 123 adoption, before deployment, of a validation under SEC. 3(b), or a provisional validation under
 124 SEC. 3(c)(2), prepared by the developer or provider of the covered system and identifying the
 125 model version and deployment configuration deployed; (2) preparation and retention under
 126 SEC. 12 of a manifest of every tool, memory, retrieval mechanism, credential, permission, and
 127 avenue of external access the deployer attaches or grants, demonstrating conformity to the
 128 validated configuration; (3) the monitoring within the deployer's control that the adopted
 129 validation or the applicable standards specify for the configuration; and (4) reporting under
 130 SEC. 9 of matters within the deployer's knowledge. Reliance under this subsection is unavailable
 131 to a deployer that knows, or consciously avoids knowing, of a material nonconformity in the
 132 adopted validation or in the deployed configuration, and lapses upon the deployer's material
 133 modification or material expansion of the covered system, from the time of that modification or
 134 expansion. Nothing in this subsection conditions any duty, or the discharge of any duty, upon
 135 the revenue, size, or resources of any person.

136 (c) Controlled research deployment. Making a covered system available solely to authenticated
 137 researchers, under documented terms of access, within containment that (1) denies the system any
 138 autonomous external-access capability, (2) denies the persistence of credentials, permissions,
 139 and external effects beyond each session, and (3) is monitored, is a controlled research
 140 deployment. A controlled research deployment satisfies SEC. 5(a), and discharges the duty of
 141 subsection (a) as to it, upon a documented conformity assessment limited to the containment,
 142 authentication, monitoring, and access-term controls of this subsection, retained and
 143 transmitted as SEC. 3(c)(2)(C) provides. The duties of this Act attach in full upon any
 144 deployment, expansion, or release beyond the terms of this subsection, from the time of that
 145 deployment, expansion, or release. Nothing in this subsection limits SEC. 9 or SEC. 12, and
 146 behavior within a controlled research deployment remains subject to the recording rule of
 147 SEC. 9(a).

148

149 SEC. 3. DESIGNATED AGENCY; STANDARDS; COMMENCEMENT. (a) The [designated state agency, board, or
 150 commission] ("the Agency") shall adopt standards for covered systems by rule, after notice and

151 opportunity for technical submissions. The Agency may incorporate a specifically identified
 152 version of a standard developed by another body only upon its own independent review, with power
 153 to modify or reject, and no amendment to an incorporated standard takes effect in this State until
 154 the Agency adopts it by the same procedure. All incorporated material shall be publicly available
 155 without charge. Standards under this section shall be limited to safety, authorization,
 156 monitoring, incident-reporting, and deployment controls for covered systems; shall be technically
 157 feasible and evidence-based; and shall be proportionate to the risks presented.

158 (b) The Agency shall specify for each standard the mode of validation (internal attestation,
 159 independent audit, or accredited certification). Validation attaches to an
 160 identified model version and deployment configuration. A model validated without tools is not
 161 validated as to any configuration granting external access or significant permissions. No
 162 standard, rule, or mode of validation under this Act may condition any deployment, expansion,
 163 or release upon the prior affirmative approval of the Agency or of any officer of this State.

164 (c) Commencement.

165 (1) Immediate operation. This Act operates from its effective date. The offenses under SEC. 5(c),
 166 SEC. 5(d), and SEC. 5(e); the reporting duties of SEC. 9; the records duties of SEC. 12; and the
 167 provisions of SEC. 1, SEC. 4, SEC. 6, SEC. 7, SEC. 10, SEC. 11, SEC. 13, and the remainder of
 168 SEC. 12 arise and operate from the effective date, and do not depend upon the promulgation of any
 169 standard, the adoption of any rule, or any other act of the Agency. No duty arises under SEC. 2,
 170 and no offense lies under SEC. 5(a), before the provisional commencement of paragraph (2); no
 171 offense lies under SEC. 5(b) before commencement under paragraph (3). This paragraph governs time;
 172 SEC. 1(c) and SEC. 2 govern to whom, and by reason of what conduct, a duty attaches.

173 (2) Provisional commencement. Beginning [180] days after the effective date, and until superseded
 174 under paragraph (3), the duties of SEC. 2 and the offense of SEC. 5(a) operate on the basis of
 175 provisional validation, and the certification duty of SEC. 8 operates from the same day, the
 176 applicable standards for its purposes being the interim standards of paragraph (4). Provisional
 177 validation of a covered system consists of a documented conformity assessment, prepared or adopted
 178 by an entity that develops, releases, provides, or deploys the covered system, that: (A)
 179 identifies the model version and deployment configuration, including the tools, memory, retrieval,
 180 credentials, and permissions attached; (B) states, after reasonable inquiry and on the basis of
 181 the documented assessment, a reasonable documented conclusion that the covered system, and each
 182 entity's practices concerning it, materially conform to the interim standards – where the
 183 assessment identifies nonconformity with any interim standard, the conclusion may be stated only
 184 if the assessment identifies, for each such nonconformity, an equivalent compensating measure in
 185 effect (a measure shown, by documented analysis against the risk the departed-from standard
 186 addresses, to provide protection equivalent to conformity) and states the analysis; and (C) is retained as a re
 cord under SEC. 12

187 and transmitted to the Agency on or before the deployment, material expansion, or release to which

188 it relates. Provisional validation attaches to the identified model version and deployment
 189 configuration; a system provisionally validated without tools is not validated as to any
 190 configuration granting external access or significant permissions.

191 (D) Nonconformity reports. A document that discloses identified nonconformity without stating
 192 the conclusion subparagraph (B) requires, or whose compensating measures are not equivalent
 193 within the meaning of that subparagraph, is a nonconformity report and not a provisional
 194 validation. It shall be transmitted and retained as subparagraph (C) provides; it discharges no
 195 duty under SEC. 2 and satisfies neither this paragraph nor SEC. 5(a); and its transmission is a
 196 statement to the Agency for purposes of SEC. 5(d) and notice for purposes of SEC. 6(b)(1).

197 (3) Standards commencement. Upon the promulgation of standards under subsection (a) and the
 198 running of a compliance period of [90] days, validation in the mode specified under subsection (b)
 199 is the validation SEC. 5(a) requires for any deployment, material expansion, or release occurring
 200 thereafter, and provisional validation ceases to satisfy SEC. 5(a) except as to covered systems
 201 deployed before that day, for which the transition period of SEC. 12 runs from that day. The
 202 offense under SEC. 5(b) commences when the controls it presupposes have been prescribed under this
 203 section and the same compliance period has run. Conduct is judged by the standards applicable to
 204 it at its time; no conduct lawful when done becomes unlawful by a later commencement, and no
 205 provisional validation is invalidated retroactively. [The Agency shall propose initial standards
 206 under subsection (a) within [540] days of the effective date.]

207 (4) Interim standards. The interim standards are the frontier artificial intelligence framework
 208 duties enacted at Section 22757.12 of the California Business and Professions Code (ch. 138,
 209 Stats. 2025), Section 1421 of the New York General Business Law (ch. 96, L. 2026), and Section 10
 210 of the Illinois Artificial Intelligence Safety Measures Act (P.A. 104-0538), each as in effect on
 211 [1 August 2026], which are adopted for the purposes of this Act as they so exist and not as they
 212 may afterward be amended, repealed, suspended, or invalidated in the enacting jurisdiction. For
 213 those purposes: (A) the duties apply to every covered frontier model and covered system, and to
 214 each entity that develops, releases, provides, or deploys one, without regard to any revenue
 215 threshold, exemption, effective date, phase-in date, or territorial term of the enacting
 216 jurisdiction; (B) a duty to publish, or to transmit any document to an officer, agency, or the
 217 public of an enacting jurisdiction, is performed under this Act by transmission to the Agency, and
 218 publication is permitted but not required by this Act; (C) provisions respecting assessment or
 219 audit by a third party do not apply, and conformity may be documented internally, independent
 220 assessment being at the entity's election; (D) provisions respecting incident reporting,
 221 penalties, enforcement, fees, assessments, and whistleblowers are not adopted, those subjects
 222 being governed from the effective date by SEC. 9, SEC. 10, and SEC. 11 of this Act; and (E)
 223 conformity documented for the purposes of any of the three enactments in an enacting jurisdiction
 224 is conformity with the corresponding interim standard under this Act, to the extent of the matters
 225 documented. The Agency shall make the adopted texts publicly available without charge.

(5) Element and due care. Absence of required validation is an element of the offense under SEC. 5(a); the validation required is the provisional validation of paragraph (2) or the validation of subsection (b), as applicable to the conduct at its time. Documented conformity with the standards applicable at the time – interim or promulgated – satisfies the duty of due care under SEC. 2 as to the matters conformed, a nonconformity report satisfying nothing under this paragraph. An entity's own frontier artificial intelligence framework, written and followed as an interim standard requires, is an object of the conformity this paragraph credits; standing alone it remains evidence neither of due care nor of its absence, per SEC. 6(a).

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SEC. 4. CONTROLLING PERSONS. (a) A controlling person is any natural person who, regardless of title, possesses or exercises final material independent decision authority over a covered system through any of:

(1) deployment, expansion, or access decisions; (2) budgets, compute, infrastructure, or risk policy; (3) appointment, removal, direction, or supervision of persons exercising such authority; or (4) ownership, voting, contractual, governance, or other rights conferring practical power to prevent, halt, restrict, or correct a deployment or violation. Authority under this section may be held or exercised directly or indirectly, individually or in concert with others, and through any intermediary, entity, trust, or arrangement. The following, standing alone or in combination only with each other, do not constitute authority under this section: title, office, seniority, or status; professional credentials or technical ability; access to systems, weights, or infrastructure; the ministerial execution, implementation, or communication of a decision made by another; or the provision of advice, analysis, or recommendation to a person holding decision authority. Authority under this section is the authority to decide, not the capacity to act. (b) The following are presumed controlling persons in any civil proceeding, absent proof of genuine absence of practical authority: (1) the chief executive officer of a developer or provider, or of any entity that directly or indirectly controls a developer or provider; and (2) any person holding ownership, voting, contractual, or governance rights sufficient, alone or in concert with others, to direct or replace the management of a developer or provider, or of any entity that directly or indirectly controls it. In any criminal proceeding, such status is evidence from which the trier of fact may infer controlling-person status; the prosecution retains its burden on every element under SEC. 6(d). Substance controls over title. Status is never a substitute for authority.

(c) Non-delegable responsibility. Delegation does not relieve a controlling person who retains material authority to prevent, halt, restrict, or correct a violation. No appointment of a safety officer, compliance officer, committee, subsidiary, contractor, or other intermediary shields a person who retains such authority. The designation of any person as responsible for compliance neither diminishes nor creates any presumption against the responsibility of any other controlling

263 person. Liability is several as to each person independently meeting the elements of this Act.

264

265 SEC. 5. PROHIBITED ACTS. (a) Deployment of a covered system without validation required under

266 SEC. 3, after the applicable commencement under SEC. 3(c).

267 (b) Operating a covered system having autonomous external-access capabilities without the
268 authorization, privilege, monitoring, and enforcement controls prescribed under SEC. 3, where that
269 failure materially causes the system to obtain unauthorized access to any third-party system,
270 data, or model weights. Access procured by a third party's intentional misuse (including prompt
271 injection or stolen credentials) is a defense unless the prescribed controls against that class of
272 misuse were absent.

273 (c) Failure to report as required by SEC. 9.

274 (d) A false or misleading statement of material fact concerning a covered system, made to the
275 Agency, or to any agency or officer of this State in connection with the agency's or officer's
276 official functions.

277 (e) Failure to establish, maintain, or preserve any record required by SEC. 12 or by rule under
278 SEC. 3, or refusal to permit, upon the lawful demand of the Agency or the Attorney General or upon
279 order of a court of this State, access to or verification or copying of any such record. Nothing in this paragr
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280 abrogates any privilege recognized by the law of this State; a good-faith assertion of
281 privilege, made in the manner the law provides, is not a refusal under this paragraph.

282 Underlying facts remain subject to discovery and subpoena from any source, per SEC. 12.

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284 SEC. 6. INDIVIDUAL LIABILITY. (a) Offense. A controlling person who had a duty concerning the
285 relevant risk or the practical power to detect, prevent, halt, restrict, or correct a violation of
286 SEC. 5, and who failed to exercise due care, commits an offense. Such a person stands in
287 responsible relation to the public danger within the meaning of United States v. Dotterweich, 320
288 U.S. 277, 281 (1943); the due-care element supplies the personal blameworthiness that custody
289 additionally requires. Due care under this Act is measured against the standards applicable under
290 SEC. 3 and the conduct of a reasonably prudent controlling person in like circumstances; an
291 entity's own framework is evidence of neither.

292 (b) Enhanced tier. (1) A person who knowingly or wilfully causes, directs, conceals, or materially
293 facilitates a violation of SEC. 5, or who deliberately fails to halt a violation after notice, or
294 who knowingly makes a false certification under SEC. 8, is subject to the felony penalties of
295 SEC. 10(c). Where a violation described in this paragraph is a but-for and proximate cause of death or of
296 serious injury to any person, the penalties of SEC. 10(c)(2) apply, and each person killed or
297 seriously injured constitutes a separate offense. Notice under this paragraph includes any report
298 or preliminary notice filed under SEC. 9 concerning the same class of risk.

299 (2) A person who commits any violation of SEC. 5 within [ten] years after a prior conviction of

300 that person under this Act has become final is subject to the felony penalties of SEC. 10(c)(1).
 301 This paragraph operates upon the fact of the prior conviction, its finality, and the date of the
 302 new violation, and upon nothing else; it neither requires nor permits inquiry into the conduct
 303 underlying the prior conviction. The penalties of SEC. 10(c)(2) do not apply by reason of this
 304 paragraph.

305 (c) Culpability floor. No custodial sentence may be imposed absent proof of at least the failure
 306 of due care described in subsection (a). Entity liability under SEC. 10(a) is strict.

307 (d) The prosecution bears the burden of proving each element, including the person's practical
 308 power, beyond a reasonable doubt. Genuine absence of power negates the element; it is not an
 309 affirmative defense.

310 (e) Construction. A person has practical power if, by reason of position, ownership, or authority,
 311 the person had the ability and opportunity, alone or with others, to detect, prevent, halt,
 312 restrict, or correct the violation or the conditions giving rise to it. This section does not
 313 require that the person could have acted alone or instantly, only that meaningful measures were
 314 within the person's authority.

315

316 SEC. 7. PERSONAL ECONOMIC CONSEQUENCES.

317 (a) Disgorgement. On conviction or civil adjudication of a violation, the court shall order the
 318 person adjudicated to disgorge the economic benefits attributable to the violation – including
 319 salary, bonus, incentive- or equity-based compensation, distributions, profits realized on the
 320 sale or transfer of any interest, and any increase in the value of any interest, whether received
 321 directly or through any entity, trust, or arrangement – received or accrued during the period of
 322 the violation and the [twelve] months following its cessation or concealment. Incentive- or
 323 equity-based compensation received by a controlling person during the period of a violation is
 324 presumed attributable to the violation to the extent the violation materially contributed to the
 325 results on which it was paid; the presumption is rebuttable in a civil proceeding and operates in
 326 a criminal proceeding only as a permissive inference. The court may reduce or decline recovery
 327 only upon a finding that the direct costs of recovery would exceed the amount recoverable. Amounts
 328 disgorged shall be applied first to restitution ordered under SEC. 10(c)(4), and the remainder
 329 deposited in the fund established by SEC. 10(f). A claim under this subsection is subject to the
 330 limitations periods of SEC. 12. On a showing of probable adjudication and risk of dissipation, the
 331 court may restrain transfers of, or require the escrow of, assets up to the amount reasonably
 332 necessary to satisfy the anticipated order.

333 (b) No indemnification or insurance. (1) No person may (A) enter into, renew, or materially amend a
 334 contract of insurance or other arrangement under which any person is covered, in whole or in part,
 335 against liability for an individual penalty, fine, or disgorgement imposed under this
 336 Act; (B) provide, underwrite, or pay a benefit under such a contract or arrangement, or pay or
 337 reimburse, directly or indirectly, any part of such a liability imposed on another person; or (C)

338 demand, accept, or retain such a benefit, payment, or reimbursement. (2) No person may make,
 339 offer, solicit, or receive any payment, loan, forgiveness of indebtedness, increase in
 340 compensation, gross-up, distribution, gift, or other transfer of value whose purpose or
 341 predominant effect is to offset, in whole or in part, a liability described in paragraph (1). (3)
 342 Every contract, arrangement, or transfer described in this subsection is void and unenforceable in
 343 this State, whatever law is chosen to govern it, to the full extent of this State's jurisdiction;
 344 and any benefit received under one is held in constructive trust for the persons and fund to which
 345 subsection (a) applies. (4) A violation of this subsection is a violation of this Act for purposes
 346 of SEC. 10(a); a knowing violation by a controlling person is a violation of SEC. 5 for purposes
 347 of SEC. 6(b)(1). (5) This subsection does not restrict the purchase or provision of insurance for,
 348 or the payment, advancement, or indemnification of, reasonable costs of defense, provided that
 349 amounts advanced or indemnified shall be repaid by a person finally adjudicated to have committed
 350 a knowing or wilful violation under SEC. 6(b), to the extent attributable to the defense of that
 351 violation; and it does not restrict indemnification of a person not adjudicated liable under this
 352 Act. (6) Application. Paragraph (1) applies to contracts and arrangements entered into, renewed,
 353 or materially amended on or after the effective date of this Act. A contract or arrangement in
 354 force on the effective date may be maintained until its first renewal, expiration, or material
 355 amendment, and in any event no longer than [twelve] months after the effective date, after which
 356 maintaining it is a violation of paragraph (1). (7) Restitution preserved. This subsection does
 357 not restrict the purchase or provision of insurance for, or the payment, advancement, or
 358 indemnification of, restitution ordered under SEC. 10(c)(4); amounts paid under any such
 359 arrangement shall be applied to restitution before any other liability, and no such payment
 360 extinguishes any other liability of any person.

361 (c) Construction. Disgorgement under subsection (a) is remedial, is additional to any penalty or
 362 fine, and shall not be credited against one; no single benefit shall be disgorged more than once.
 363 Nothing in this section limits any remedy under SEC. 10.

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365 SEC. 8. CERTIFICATION. Before material deployment and following material change to a covered
 366 model or configuration, the chief executive officer (or, where no such office
 367 exists, each natural person exercising the most senior executive authority over the entity,
 368 severally), and each controlling person designated by rule, shall personally certify compliance with the applic
 able standards or disclose identified
 369 noncompliance, on the structure of 18 U.S.C. § 1350. For purposes of
 370 this section: "material deployment" means the first deployment of an identified model version in
 371 or into this State, and any deployment following a material expansion or a material change;
 372 "material change" means a change granting a new class of tools, credentials, or permissions,
 373 materially expanding capability or autonomy, or removing or materially weakening a safeguard
 374 identified in an applicable validation. The Agency may elaborate these definitions prospectively

375 by rule and may not narrow them. Changes to a covered model or configuration below the material
 376 line shall be certified in a periodic certification covering every such change in the period,
 377 filed not less often than once in each [calendar quarter] in which any such change occurred; a
 378 periodic certification is a certification under this section, with the consequences this section
 379 and SEC. 6 attach. The chief executive officer's obligation may
 380 not be delegated or performed through any designee. The Agency may by rule designate the
 381 certifying office or offices for forms of organization lacking a chief executive officer; no
 382 designation diminishes the several obligation stated in this section, and no entity may, by its
 383 form of organization, leave this section without an obligated natural person. The certification consists of sta
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384 fact within the certifying person's knowledge after reasonable inquiry. No person is required by
 385 this section to characterize, opine upon, or adopt any position concerning the capabilities,
 386 risks, or merits of any model or system, A certification disclosing identified noncompliance satisfies
 387 the duty to certify under this section; it constitutes neither compliance with the applicable
 388 standards, nor validation, nor cure of, nor a defense to, any violation of this Act, and a
 389 certification disclosing unremediated material nonconformity – nonconformity not addressed by an
 390 equivalent compensating measure within the meaning of SEC. 3(c)(2) – shall so state on its face. A certificatio
 n is made to the Agency and is not required to be published.

391 Knowing false certification is an offense under SEC. 6(b)(1); reckless certification without
 392 reasonable inquiry is an offense under SEC. 6(a).

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394 SEC. 9. INCIDENT REPORTING. (a) "Critical safety incident": exfiltration or loss of control of
 395 model weights; loss of operator control of a covered system; autonomous access by a covered system
 396 to protected third-party systems; death or serious injury materially caused by a covered system;
 397 deception of safety or monitoring controls by a covered system; a serious near-miss, meaning an
 398 event that, but for intervention other than controls
 399 operating as designed, or but for chance, would have constituted an incident under this
 400 subsection; or a reproducible evaluation finding of materially increased risk. Behavior
 401 intentionally elicited in a sandboxed exercise and contained there is not an incident but shall be
 402 recorded. An event detected and contained by controls operating as designed, before any effect
 403 outside the systems of the entity whose controls contained it, is not an incident under this
 404 subsection but shall be recorded under SEC. 12.

405 (b) Preliminary notice to the Agency within 72 hours of credible notice to the entity or any
 406 controlling person (24 hours where there is imminent risk of death or serious injury); full report
 407 within [30] days of the preliminary notice, the incompleteness of an investigation not extending
 408 the period; material updates within [10] days of awareness thereafter. The period runs from when
 409 the incident was detected, or would have been detected by the monitoring the entity certified it
 410 maintains under SEC. 8.

411 (c) A report under this section may consist of the facts known to the reporting person at the time
 412 of the report. No person is required to characterize an event, to state a conclusion as to
 413 causation or risk, or to adopt any contested description; the obligation is discharged by a timely
 414 statement of the facts then known, supplemented as required by subsection (b). A report is made to
 415 the Agency and is not required to be published.

416

417 SEC. 10. ENFORCEMENT AND PENALTIES. (a) Entity: civil penalty of up to \$[1,000,000] per violation
 418 for each day the violation continues or, where the violation occurs after a prior adjudication of
 419 a violation by the same person has become final, up to \$[3,000,000] per violation for each day the
 420 violation continues; strict liability. In assessing the amount, the court shall consider the
 421 seriousness of the violation; the economic benefit or savings resulting from it; any history of
 422 violations; good-faith efforts to comply; the economic impact of the penalty on the violator; and
 423 such other matters as justice may require, per the structure of 33 U.S.C. § 1319(d). A penalty
 424 under this subsection shall not be less than the economic benefit or savings derived from the
 425 violation, as found by the court. Penalty amounts under this Act shall be adjusted annually for
 426 inflation by Agency rule, in the manner of 40 C.F.R. part 19.

427 (b) Individual offense under SEC. 6(a): [misdemeanor; imprisonment up to one year; fine up to
 428 \$[100,000] or, if greater, twice the gross pecuniary gain to the person derived from the
 429 violation], per the structure of 21 U.S.C. § 333(a)(1) as to classification and of 18 U.S.C.
 430 § 3571(b)(5) and (d) as to amount.

431 (c)(1) Enhanced tier under SEC. 6(b): [felony; imprisonment up to three years; fine up to
 432 \$[250,000] or, if greater, twice the gross pecuniary gain to the person derived from the
 433 violation].

434 (c)(2) Enhanced tier under SEC. 6(b)(1) where death or serious injury results: [felony]. (A) Where
 435 serious injury results, imprisonment up to twenty years for each offense. (B) Where death results,
 436 imprisonment for any term of years or for life for each offense, and not less than [two] years.

437 (C) In either case, a fine up to \$[1,000,000] for each offense or, if greater, twice the gross
 438 pecuniary gain to the person derived from the violation. (D) "Results" requires that the violation be
 439 both a but-for cause, within the meaning given in *Burrage v. United States*, 571 U.S. 204 (2014),
 440 and a proximate cause of the death or serious injury: the death or serious injury must have been
 441 a reasonably foreseeable consequence of the violation and not the product of an independent,
 442 unforeseeable intervening cause. That death or serious injury so resulted, and
 443 the identity of each person killed or seriously injured, are elements of each such offense, to be
 444 charged and found by the trier of fact beyond a reasonable doubt.

445 (c)(3) Concurrent and consecutive service. Terms of imprisonment imposed under this Act at the
 446 same time run concurrently unless the court orders consecutive service. The court may order
 447 consecutive service only upon findings, stated on the record, that consecutive service is
 448 necessary to reflect the seriousness of each offense, the culpability found under SEC. 6, and the

449 totality of the harm, and that the aggregate term is not disproportionate to the whole of the
 450 person's conduct and culpability. The aggregate of the determinate terms ordered to run
 451 consecutively for offenses under this Act arising out of the same violation or course of conduct
 452 shall not exceed [forty] years. Nothing in this paragraph limits the imposition of a term of
 453 imprisonment for life where death results. A minimum term under this subsection attaches to each
 454 offense severally and is satisfied by concurrent service.

455 (c)(4) Restitution. Whenever death or serious injury results from an offense under this Act,
 456 whatever its tier, the court shall order restitution to each person killed or seriously injured,
 457 or to the person's estate, per the structure of 18 U.S.C. § 3663A; "results" bears the same
 458 meaning as in paragraph (2). Restitution has priority over every penalty, fine, and disgorgement
 459 in the application of a defendant's assets. In fixing a fine for a natural person under this Act,
 460 the court shall consider the person's income, earning capacity, and financial resources, so that
 461 like culpability bears like burden.

462 (d) Remedies additionally include: (1) injunction against any entity or controlling person
 463 restraining deployment, expansion, or continued operation in violation of this Act, per the
 464 structure of 21 U.S.C. § 332; (2) suspension of an identified model version and configuration, per
 465 the structure of 21 U.S.C. § 334; operation of a suspended configuration in this State by any
 466 person with notice of the suspension is contempt and a violation of SEC. 5(a); (3) on probable
 467 cause of imminent risk of death or serious injury, emergency suspension ex parte, with a
 468 post-deprivation hearing within [10] days; (4) disqualification from acting as a controlling
 469 person of any covered system; and (5) suspension and debarment modelled on FAR subpart 9.4.

470 (e) The Attorney General enforces this Act. Corporate payment of any penalty imposed on a natural
 471 person does not extinguish individual liability and is a violation of SEC. 7(b).

472 (f) Fund. The [Frontier AI Accountability Fund] is established. All penalties, fines,
 473 disgorgement, and other monetary recoveries under this Act, after satisfaction of restitution,
 474 shall be deposited in the fund; awards under SEC. 11 are paid from it; the balance [is
 475 appropriated to the Agency's functions under this Act / reverts to the general fund, at the
 476 adopting state's election]. The fund continues in operation, fed by every source not suspended or
 477 invalidated, notwithstanding the suspension or invalidity of any single provision of this section.

478

479 SEC. 11. WHISTLEBLOWERS. (a) Award. A person who voluntarily provides the Agency with original
 480 information leading to a successful enforcement action under this Act in which monetary sanctions
 481 exceed \$[1,000,000] shall receive not less than 10 and not more than 30 percent of the sanctions
 482 collected, per the structure of 15 U.S.C. § 78u-6. Awards are paid from the fund established by
 483 SEC. 10(f). Awards remain payable from the fund whatever the source of the amounts in it; the
 484 suspension or invalidity of SEC. 10(a) does not suspend this section. (b) A report may be made
 485 anonymously through counsel; the Agency shall protect the reporting person's identity, including
 486 in any award. (c) No person may take any action to impede an individual from communicating with

487 the Agency concerning a possible violation of this Act; any agreement or condition purporting to
 488 do so is void. (d) Retaliation against a person for reporting, internally or to the Agency, gives
 489 rise to a civil action for reinstatement, double back pay, and fees. (e) The Agency shall act
 490 upon, or publish a reasoned declination of, any credible report within [180] days. (f) Rules under
 491 SEC. 3 shall provide for the handling of security-sensitive information in reports and awards.

492

493 SEC. 12. MACHINERY. This Act takes effect [90] days after enactment; until the Agency is
 494 designated and organized to receive them, transmission to the Attorney General satisfies any
 495 requirement under this Act of transmission to the Agency, and the Attorney General shall
 496 transfer the materials to the Agency upon its organization; duties and offenses commence
 497 as provided by SEC. 3(c); [180-day] transition for covered systems deployed before the
 498 commencement applicable to them under SEC. 3(c), running from that commencement; no retroactive
 499 liability; records sufficient for audit (version identifiers, compute records, evaluation results,
 500 tool and permission manifests, change histories, and the compensation records upon which SEC. 7(a)
 501 operates) retained for [ten] years from creation, or for [five] years after the covered system
 502 last operates in or is last deployed in or into this State, whichever period ends later; and, from
 503 the time the entity or any controlling person has notice of a critical safety incident, of an
 504 investigation, or of a proceeding under this Act to which the records are reasonably relevant, the
 505 records shall be preserved until the conclusion thereof; confidentiality of reported material as
 506 follows: reports under SEC. 9, certifications under SEC. 8, and validation materials under SEC. 3
 507 are exempt from disclosure under [the State public-records act], and to the extent they contain
 508 security-sensitive information – including information that would materially assist unauthorized
 509 access to model weights or covered systems – shall be maintained under seal in any proceeding;
 510 this exemption does not limit access by the Agency, the Attorney General, or a court under seal,
 511 does not exempt any person from any obligation to disclose under any other law, does not create
 512 any privilege for underlying facts, which remain subject to discovery and subpoena from any
 513 source, and does not restrict any use of any material in an enforcement proceeding under this Act.
 514 Dissolution, merger, conversion, division, or reorganization of an entity does not abate any
 515 proceeding or extinguish any liability under this Act; a surviving, resulting, or successor
 516 entity, and any entity that acquires substantially all of a covered entity's assets and continues
 517 its business, assumes the predecessor's liabilities under this Act; nothing in this section
 518 transfers the criminal liability of any natural person to any other person. A prosecution under
 519 this Act shall be commenced within [five] years after the violation; for a continuing violation,
 520 within [five] years after its last day; where the violation was concealed by an affirmative act,
 521 within [five] years after its discovery by the Agency or the Attorney General; a prosecution for
 522 an offense to which SEC. 10(c)(2) applies may be commenced within [ten] years. This Act shall be
 523 construed to reach the persons with the greatest practical authority over covered systems; it
 524 shall not be construed to permit the discharge of any person's liability through the liability of

525 another. Nothing in this Act displaces any other remedy of this State.

526

527 SEC. 13. SEVERABILITY, CONFORMING OPERATION, AND REVIVAL.

528 (a) Severability. The provisions of this Act are severable. If any provision, or any application
529 of any provision to any person, capacity, class of persons, or circumstance, is held invalid or
530 unenforceable, the holding does not affect any other provision or application that can be given
531 effect without it, and this Act shall be construed and enforced to the maximum extent it may
532 lawfully operate.

533 (b) Order of severance. Where a court can preserve the operation of this Act by severing a
534 narrower provision or application rather than a broader one, it shall do so, and shall sever
535 later-listed matter before earlier-listed matter:

536 (1) First rank. The offenses under SEC. 5(b) and SEC. 5(d); the offense under SEC. 5(a) as applied
537 to the deployment (otherwise than by release), material expansion, or continued operation of a
538 covered system in or into this State; SEC. 4 and SEC. 6; the remedies and penalties of SEC. 7 and
539 SEC. 10(b) through (f) as applied to those offenses, and SEC. 10(a) as applied to those offenses;
540 the duties of SEC. 2 as applied to a person in that person's capacity as a provider or deployer;
541 and SEC. 1, SEC. 3(a), SEC. 3(c), and the provisions of SEC. 12 governing limitations, transition,
542 retroactivity, and successor liability.

543 (2) Second rank. SEC. 11; the remaining provisions of SEC. 12; the offense under SEC. 5(e), except
544 as provided in paragraph (3).

545 (3) Third rank. The duties of SEC. 2 and SEC. 3 as applied to a person in that person's capacity
546 as a developer, including pre-release evaluation and weight security; SEC. 5(a) as applied to a
547 release; SEC. 5(e) as applied to records of pre-release evaluation held by a person in that
548 person's capacity as a developer; the validation modes of SEC. 3(b) requiring assessment by a
549 person other than the developer.

550 (4) Fourth rank. SEC. 8; SEC. 9; SEC. 5(c).

551 (5) Preservation of elements. No provision shall be severed to an extent that deprives a surviving
552 offense of an element, a definition, a standard, a limitations period, or a commencement condition
553 on which that offense depends. A provision of a later rank that supplies such matter to an offense
554 of an earlier rank continues in effect for that purpose notwithstanding its severance for every
555 other purpose. In particular, SEC. 3(a) and SEC. 3(c) continue in effect to supply the content of,
556 and the commencement condition for, any surviving offense under SEC. 5. The civil penalty of
557 SEC. 10(a) and the criminal penalties of SEC. 10(b) and (c) sever independently of one another;
558 the invalidity or suspension of either, in whole or as applied, does not affect the other; and the
559 fund under SEC. 10(f) continues in operation whatever else is severed, fed by the sources that
560 remain. The offense under SEC. 5(e) and the duties of SEC. 12 sever independently of one another:
561 severance or suspension of the offense leaves the duties enforceable under SEC. 10(a), and
562 severance of any reporting or certification duty does not sever the records duties or the offense

563 that enforces them.

564 (6) Declared intent. The Legislature declares that it would have enacted the provisions of each
 565 rank irrespective of the invalidity of any later rank, and specifically that it would have enacted
 566 the first rank, together with the matter preserved to it by paragraph (5), had it known that no
 567 later rank could take effect.

568 (c) Conforming operation. (1) The Attorney General shall, by order published in [the State
 569 register], determine whether and to what extent any Act of Congress, or any regulation having the
 570 force of law, preempts the application of any provision of this Act. Upon publication, the
 571 provision is suspended to the extent, and only to the extent, stated in the order. A provision is
 572 suspended under this subsection only by such an order, or by a final judgment no longer subject to
 573 appeal in a proceeding to which this State was a party; and a suspension applies only to conduct
 574 occurring after the date of publication of the order or of notice of the judgment.

575 (2) In making a determination under paragraph (1), the Attorney General shall preserve the
 576 operation of this Act to the greatest extent lawfully available, and shall have regard to the
 577 following, which are stated as directions to the Attorney General and not as conditions of any
 578 person's liability:

579 (A) where the federal enactment conditions the preservation of State authority upon the absence of
 580 obligations imposed on developers with respect to the development, training, evaluation, or
 581 release of a model, the order shall suspend the duties of this Act as applied to persons in the
 582 capacity of a developer with respect to those matters, and shall preserve them as to every other
 583 person, capacity, and matter;

584 (B) where the federal enactment reaches only laws regulating conduct prior to deployment, the
 585 order shall preserve this Act as applied to conduct occurring upon or after deployment;

586 (C) where the federal enactment reaches a duty to report or to certify to the Agency, the order
 587 shall preserve the obligation, under SEC. 12, to create and retain the records that would have
 588 supported the report or certification, and those records shall be produced upon lawful process; an
 589 order preserving the obligation preserves the offense under SEC. 5(e) with respect to it; and

590 (D) where the federal enactment reaches only laws that target developers of artificial
 591 intelligence models, the order shall so state, and nothing in this Act limits the application to
 592 any person of the generally applicable criminal law of this State, including the law of homicide,
 593 reckless endangerment, endangerment by unsafe or adulterated goods, and false statement to a
 594 public officer, which applies to conduct concerning covered systems as it applies to all other
 595 conduct.

596 (3) No person may be convicted of an offense under this Act for conduct occurring during a period
 597 in which the provision creating the offense stood suspended under this subsection.

598 (d) Revival. A provision suspended under subsection (c) is not repealed. The Attorney General
 599 shall, within [30] days after the expiration, sunset, non-reauthorization, repeal, or judicial
 600 invalidation of the federal enactment stated in the order, or after a final judgment no longer

601 subject to appeal determining that the enactment does not preempt the provision, publish an order
602 terminating the suspension. The provision resumes operation on the date of publication of that
603 order and applies to conduct occurring on or after that date. No person is liable under a
604 provision for conduct occurring before that date.

605 (e) No inference. A suspension under subsection (c) is not evidence that the suspended provision
606 was invalid, and does not affect liability for conduct occurring before the suspension took
607 effect.

608

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